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IMPACTS OF TECH IN WYOMING COMMUNITIES

Mythbusting Data Centers: the Economic and Environmental Impacts of Tech in Wyoming Communities



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News

Demand for data is higher than ever, with Americans consuming an **average of 34GB of data per day**. This translates to roughly five hours on the internet and five hours of streaming video and music. Additionally, more people than ever interact with AI, with Pew Research finding that **62% of Americans** use AI tools at least several times per week (and often daily).

As online hours and streaming increase, so does the need for data storage. Technology companies around the world are looking for locations to build data centers to keep up with user demand.

However, some communities are pushing back, expressing concerns about data centers and how they will impact their resources, electric bills, and overall quality of life. Another study by Pew found that 39% of people worry that data centers are bad for the environment, while 38% are **anxious about their home energy costs**.

Concerns about any new development in a community are valid,

especially major developments that can change the shape of rural towns and counties. However, there are some misconceptions about data centers that could prevent Wyoming communities from taking advantage of these investments.

Here's what you need to know about data centers, backed by research from buildings currently operating in Cheyenne. It's time to bust the myths about these buildings and see how they can help Wyoming grow.

Myth #1: Data Centers Overconsume Water and Discharge Heat

One of the biggest environmental concerns about data centers is their water usage. These structures generate a tremendous amount of heat and use water to keep the servers cool. Older data centers have historically been large water consumers, but modern systems are designed with conservation in mind. Closed-loop systems significantly reduce water usage, and other companies are investing in technology to keep servers cool.

In fact, the City of Cheyenne Board of Public Utilities found that local data centers only comprise 1.9% of the city's water consumption.

It's actually in the best interest of data center companies to invest in low-water-use technology. The less water they use, the more they save on monthly utility bills. META has set a goal to be **water-positive by 2030**, where it generates more water than it consumes.

When it comes to heat discharge, the more data centers **contain and cool their systems internally**, the less water they use and the

less heat they release. What is good for the data systems also benefits nearby ecosystems and local environments.

Myth #2: Data Centers Drive Up Electric Bills

Another misconception is that consumers will face electric rate increases when data centers want to move into their area. However, data center companies pay their own electric bills and cover any infrastructure improvements needed to handle the increased load. Black Hills Energy even **created its own tariff** to ensure residents didn't foot the bill for data companies.

The reality is that residents also benefit from these infrastructure improvements. Studies show that 3,800 acres of land owned by others in Laramie County have benefited from infrastructure investments by data center companies. Residents can enjoy improved roads, better sewer systems, and stable electric services.

Myth #3: Data Centers Don't Pay Taxes

Many states, including Wyoming, offer incentives to data center construction. When data centers choose Wyoming, they are exempt from sales and use tax for computer equipment and software services. However, the savings data centers realize from these taxes do not compare to the taxes they pay for power, property, and other purchases.

Between 2010 and 2024, data center companies saved \$198 million in taxes by choosing to build in Wyoming. However, they paid nearly \$7 billion in taxes and permitting fees. For every \$1 forgone through

tax abatements, the state of Wyoming brought in \$35.50.

Myth #4: Data Centers Don't Create Jobs

While there's no doubt that data centers create construction jobs in the short run, communities want to know that these buildings will contribute to the job economy in the long run. They don't want to bring in businesses that run autonomously with only a handful of workers.

According to a 2025 report by the University of Wyoming, data centers create an average of 1,051 direct full-time jobs annually. They are also responsible for 633 indirect jobs (ranging from restaurant workers to teachers who support the families of data center workers).

Data center jobs are also high-paying, with Laramie County computer operations employees earning \$154,000 annually. These high-paying jobs bring money into the economy and also support the tax base.

Data centers are not autonomous factories. They need workers, and there are opportunities for residents to enter new careers when these buildings are constructed. Many technology companies already work with local community colleges to teach students the skills they need in a data center environment.

Myth #5: Data Centers Are Bright and Loud

There are concerns that data centers will affect residents' quality of life across Wyoming. This is one of the most beautiful states in the

nation, and people are worried that data centers will be eyesores, generate noise, and pollute the night sky.

In the same way that data center companies are working to reduce water consumption, they are also looking to quiet their operations – especially because a lot of the noise comes from the cooling technology. A newly built data center in your community will likely be much quieter than a legacy center from the early 2010s. These improvements also work to reduce light pollution from industrial lights and infrasound complaints.

Myth #6: Data Centers Discharge Harmful Wastewater

Some communities are also worried about their wastewater and what chemicals it may contain after data centers discharge it. The reality is that more data center operators are looking to **use reclaimed water** in their operations, reducing their need for fresh, potable water. Others are **building water treatment plants on-site** to ensure the water they discharge is safe to reenter the community. Additionally, when a data center uses municipal water, its use and discharge are monitored for any contaminants that shouldn't be in the water.

Data centers must comply with the same regulations as other commercial businesses in Wyoming. This means implementing systems related to fuel storage, handling of cooling chemicals, and other groundwater management processes.

Myth #7: The Environmental and Natural

Resource Consumption is Excessive

Along with water consumption, communities raise concerns about data centers' electricity use from an environmental standpoint, not just for their electric bills. The reality is that data centers get their electricity from local providers, just like other commercial buildings and residential homes do.

Cornell researchers recently created a **roadmap to reduce the environmental impact** of data centers across the United States. They believe increases in operational efficiency can cut carbon dioxide emissions by 73%. The study identifies states that utilize renewable energy for electricity as opportunities for cleaner data centers.

"The solution is to accelerate the clean-energy transition in the same places where AI computing is expanding," says Fengqi You, professor of Energy Systems Engineering at Cornell.

Like all environmental concerns, there isn't a single silver bullet solution. Instead, several systems work together to create safer, environmentally sustainable results.

Myth #8: Changing Technology Could Lead to Obsolete Buildings

Technology is constantly evolving and improving. Without this evolution, people would still carry mobile phones in cumbersome briefcases and wouldn't be able to move easily with laptops and tablets. Some communities worry that investing in data centers might be the right choice now, but could harm residents in the long-

run if they become obsolete.

Technology innovation is what will help data center companies address other concerns facing Wyoming communities. It is what helps companies use less water each year and reduce sound and noise pollution. Data centers will become more effective and less disruptive through tech advancements.

The reality is that data **needs to be stored in specific locations**. If Wyoming companies use data (including local governments and hospitals), they will increasingly need to store it locally. This means the data centers will not become obsolete purely because of their geographic location and who is using the information.

Myth #9: Data Centers Will Lower Property Values

Finally, residents have raised concerns about how data centers will affect their home values, potentially harming one of their largest financial investments. Simply put, as companies address the other concerns listed in this article, the local impact of data centers will decrease, and property values are less likely to be affected.

These concerns also fail to address the potential increases in property values that accompany higher-paying jobs in communities. When operations employees earn six-figure salaries, they have a larger pool of homes they can afford. Their spending also supports other local industries, boosting regional incomes. Growing communities can attract developers, leading to new neighborhoods and housing options.

While some municipalities may have growing pains from data center investment, the long-term benefits could bring Wyoming into the future and create opportunities for countless industries.

Get Involved in Data Center Development in Your Community

One of the best things Wyoming residents can do when data center companies are interested in their area is to get involved. Attend council meetings, ask questions, and hear what these companies have to say. More data center businesses are approaching communities with plans to mitigate their impacts, aiming to have a positive impact on nearby towns and cities.

Wyoming is stronger when its residents are involved in local government. **Find your local economic development teams** and see how you can get involved. You can help shape Wyoming's future and create new opportunities for your neighbors while protecting the wilderness and beauty of the Cowboy State.

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